

Response to the Editor and Referees

A pluralist perspective on input–output modeling: searching for commensurability

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This document responds point by point to the editor and to both referees. Each numbered point restates the referee’s comment and gives our response together with the location of the change in the revised manuscript.

Editor

E1 — [editor point title]

Referee: “[paste the editor’s comment]”

Response. TODO.

Location. T

ODO (section / table / line in the revised manuscript).

Reviewer 1

General assessment: the paper is interesting and of interest to *Metroeconomica* readers, but its structure does not let the reader focus on the primary message; the central argument is not yet discernible.

R1.1 — Structure and central argument

Referee: “I find the paper challenging to follow, and its current structure does not facilitate the reader’s focus on the primary message.”

Response. TODO: point to the new spine (Sec. 1 intro + Sec. 5 matrix) and the reading-guide box.

Location. S

ec. 1; Sec. 5.

R1.2 — Verbal description of the model; static vs. dynamic

Referee: “It would be nice to say verbally what are the main features of the model ... The default model is a closed economy with full employment ... is the model static or dynamic?”

Response. TODO: verbal model overview before the equations; state the static short-run horizon explicitly.

Location. S

ec. 4.1.

R1.3 — Calibration process and summary tables

Referee: “How the model has been calibrated? Is the model exactly replicating the IO table? ... present key economic variables from Germany’s IO table in a summary table ... Including elasticity values in a table.”

Response. TODO: the calibration pipeline (Sec. 4.1); the summary table; the elasticity table.

Location. S

ec. 3 / App. B; elasticity table.

R1.4 — The Keynesian approach (Type I vs Type II multipliers)

Referee: “The purpose behind the Keynesian approach in section 2.1 remains unclear ... distinguishing between Type I and Type II multipliers (Miller and Blair, 2019).”

Response. TODO: clarify or drop the Type-I/II distinction.

Location. S

ec. 2 / Sec. 3.

R1.5 — Labour-market slack and the wage-setting rule

Referee: “This model evidently allows for involuntary unemployment ... a wage-setting rule must be specified ... some wage-setting mechanism such as fixed real or nominal wages ... Also a simple wage curve.”

Response. TODO: GAMMA/BETA with explicit wage rules; the no-go corollary on nominal wage rules.

Location. S

ec. 4 (closures); Sec. 6.

R1.6 — Labour mobility and the unified wage rule

Referee: “Under imperfect labour market conditions, does the model assume a unified wage rule to enable labour mobility across sectors?”

Response. TODO: BF/ALPHA; the sectoral family (ADR-0022).

Location. S

ec. 4; Sec. 6.

R1.7 — Aggregate vs. sectoral results

Referee: “In aggregate the economy is not sensitive to change in elasticity of substitution while these changes in price sensitiveness matter a lot for sectoral outcome.”

Response. TODO: sections 5-6 with the sectoral Sobol.

Location. S

ec. 5.1-5.2; Sec. 6.

R1.8 — McGregor, Swales & Yin (1996)

Referee: “[the long-run interpretation of regional IO analysis]”

Response. TODO: engage; the DELTA corner and the long-run bridge.

Location. S

ec. 2 (literature); Sec. 6.

R1.9 — Minor comments

Referee: “Page 5 sentence is convoluted; Page 16 second paragraph incomplete; Figure 3 — is the horizontal axis representing sectors?”

Response. TODO: copy-edits.

Location. S

ec. 2; Sec. 4; Figure (sectors on the axis).

Reviewer 2

General assessment: the IO-CGE bridge already exists (Robinson 2006); the paper’s exercise is therefore claimed to be superfluous and to add no novel insight. Our response concedes the bridge and repositions the contribution as the measurement of the closure space.

R2.1 — Labour-supply elasticity as the bridging parameter

Referee: “[the elasticity of primary factor supply — the labour supply elasticity — is the parameter that governs how far one travels along the bridge].”

Response. TODO: concede; BETA and the matrix; the corrected equilibrium.

Location. S

ec. 1; Sec. 4; Sec. 6.

R2.2 — Closure literature

Referee: “[the existing literature on alternative factor-market closures in CGE models].”

Response. TODO: the closure taxonomy; Robinson (2006) central.

Location. S

ec. 2.

R2.3 — The ‘paradigmatic cleavage’ framing

Referee: “The paper’s characterisation of a ‘paradigmatic cleavage’ ... is contrived and falls flat ... a ‘domain of applicability’ angle is more fruitful.”

Response. TODO: reframe via domain of applicability.

Location. S

ec. 1.

R2.4 — The ‘miracle’ of the closed-economy calibration

Referee: “[how the closed-economy model was calibrated to Germany’s open economy with its large export and import flows].”

Response. TODO: the open-economy pipeline (Sec. 4.1) + the external-debt closure; the import split; the 5.387

Location. S

ec. 3; App. B.

R2.5 — Sector-specific immobile labour

Referee: “[the alternative, more commonly used in the CGE literature, of labour as an intersectorally mobile factor with a uniform economy-wide wage].”

Response. TODO: the mobile core (ALPHA) is now the default; BF the pole.

Location. S

ec. 4; Sec. 6.

R2.6 — Sign error in eq. (19)

Referee: “Total cost is the sum of — not the difference between — the intermediate input cost term and the primary factor cost term.”

Response. TODO: fix.

Location. S

ec. 4, eq. (cost).

R2.7 — Supply-vs-demand characterization

Referee: “In the general equilibrium framework supply and demand are simultaneously determined — full stop.”

Response. TODO: remove the passage.

Location. S

ec. 4 (deleted).

R2.8 — CES novelty claim

Referee: “[CES functions have been commonly used in CGE analysis right from the beginnings].”

Response. TODO: drop the novelty claim.

Location. S

ec. 1 / Sec. 4.

R2.9 — Cobb-Douglas as 'the archetypical neoclassical approach'

Referee: “[the decision that the Cobb-Douglas case is the archetype is entirely arbitrary].”

Response. TODO: drop the archetype claim.

Location. S

ec. 4.

R2.10 — Arbitrary uniform allocation of additional labour

Referee: “[the entirely arbitrary assumption that 'the additional labor is transferred uniformly to the sectors'].”

Response. TODO: eliminated by endogenous allocation (BF/ALPHA).

Location. S

ec. 5; Sec. 6.

R2.11 — 'Fundamentally contested' allocation claim

Referee: “[the suggestion that the effects of a demand stimulus on exact allocation of labor remains fundamentally contested].”

Response. TODO: drop or reference.

Location. S

ec. 8 (removed).

R2.12 — Internal mobility contradiction

Referee: “[section 4.2 argues as if production factors are intersectorally mobile].”

Response. TODO: resolved by the mobile core.

Location. S

ec. 4.2.

R2.13 — McGregor et al. (1996)

Referee: “[see McGregor, Swales & Yin 1996].”

Response. TODO: engage.

Location. S

ec. 2; Sec. 6.

R2.14 — Skill classes

Referee: “[a proper CGE analysis would split labor by skill class and use different labor market closures by skill type].”

Response. TODO: optional extension; state the limitation.

Location. S

ec. 7 (limitations).